

IRFC

13.0%
ROE

5.7%
ROCE

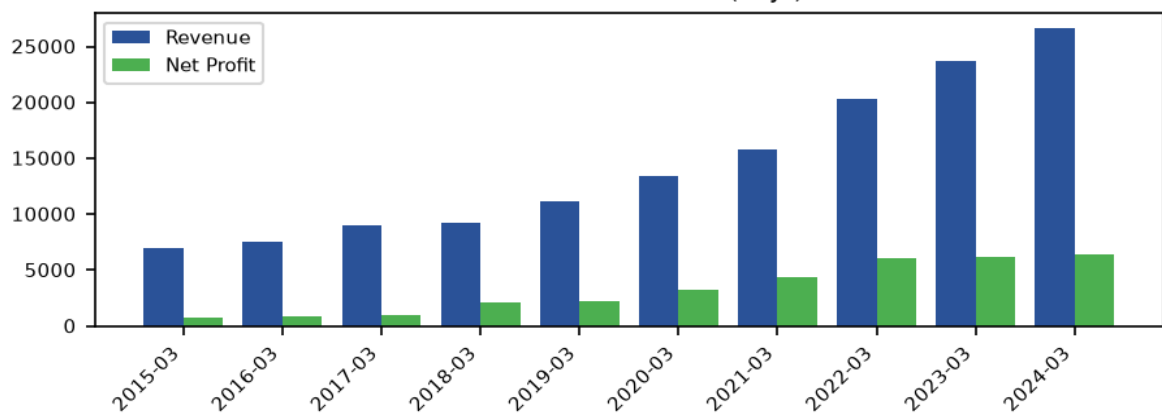
8.4x
D/E

19.1%
Revenue CAGR (5yr)

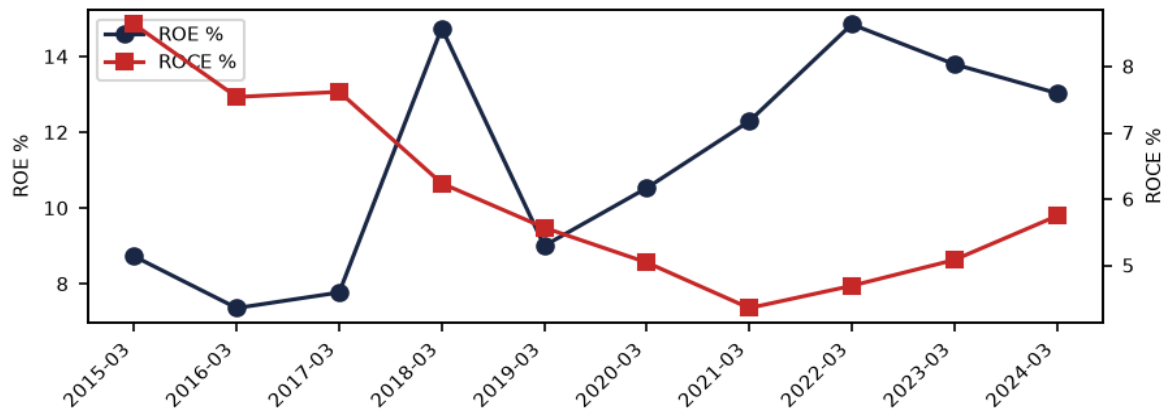
99.5%
OPM

24.1%
Net Profit Margin

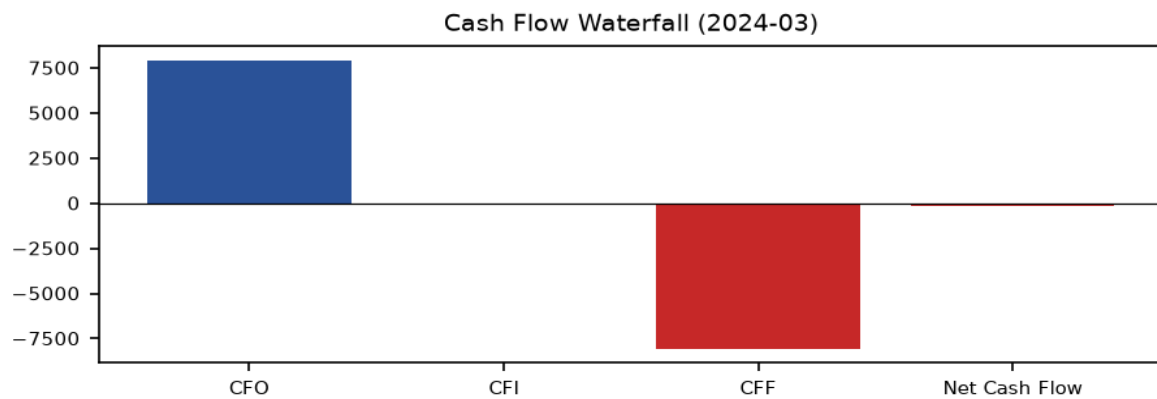
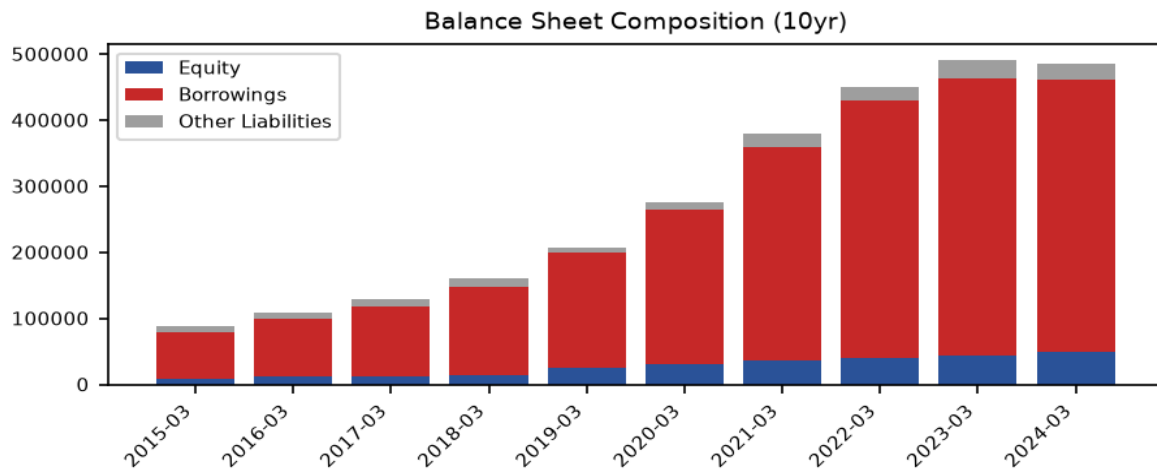
Revenue vs Net Profit (10yr)



ROE vs ROCE (10yr)



IRFC



Pros

- Revenue growing at above 15% CAGR over 5 years reflects strong business momentum
- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Net profit compounding at above 20% over 5 years creates significant shareholder value
- Consistent dividend yield above 2% backed by positive free cash flow
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Revenue growing slower than profits shows improving operating leverage and scale benefits

Cons

- Interest coverage ratio below 1.5x indicates the company is at risk of not meeting its debt obligations
- Earnings per share declining for 3 consecutive years reflects deteriorating profitability
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility

Capital Allocation Pattern: Reinvestor